



April 12, 2023

Senator Kathleen Passidomo
President of the Florida Senate
409 The Capitol
404 South Monroe Street
Tallahassee, FL 32399-1100

RE: SB 262 — Oppose

Dear Senate President Passidomo:

On behalf of the advertising industry, we write to respectfully ask you to decline to advance Florida SB 262.¹ We and the companies we represent, many of whom do substantial business in Florida, strongly believe consumers deserve meaningful privacy protections supported by reasonable laws and responsible industry policies. However, SB 262's provisions are out-of-step with existing state privacy laws in ways that would have a devastating impact on the Florida economy and the businesses that support it. In particular, SB 262 would make Florida less friendly to small and mid-size businesses than California.

SB 262 contains provisions that would significantly impede Florida businesses and the Florida residents who own them from reaching existing and potential customers with advertisements. SB 262's definition of "controller" attempts to regulate entities that make in excess of \$1 billion in gross revenues and satisfy certain other thresholds.² However, SB 262 fails to account for the fact that Florida businesses rely on these covered entities—platforms, social media companies, e-commerce marketplaces, and other service providers which bring businesses and customers together. Regulating "controllers" in the manner proposed by SB 262 would decimate small business growth and make small businesses less competitive, thus diminishing the vibrancy of offerings available to consumers. A significant percentage of small businesses (77%) report that they would "struggle to survive" without access to the technology platforms that drive their ability to engage with customers.³ Moreover, approximately 80% of small businesses state that technology platforms have helped them better cope with staffing issues and access high quality talent.⁴ If enacted, SB 262 would destroy small businesses' ability to operate, leverage platforms and other digital marketplaces that power their ability to do business, and provide value in the modern economy.

¹ Florida SB 262, Reg. Sess. (2023), located [here](#) (hereinafter, "SB 262").

² *Id.* at Section 2, § 501.173(2)(e).

³ U.S. Chamber of Commerce Technology Engagement Center, *Empowering Small Business: The Impact of Technology on U.S. Small Business* at 16 (2022), located [here](#) (hereinafter, "U.S. Chamber of Commerce 2022").

⁴ *Id.* at 14.

Florida businesses, and in particular small businesses, depend on the proposed covered entities under SB 262 to reach audiences for their products and services. Studies also show that small businesses rely on digital advertising—much of which is provided through social media, search engines, voice recognition devices, and other offerings and platforms supported by covered entities—to reach consumers at scale, effectively and efficiently.⁵ The bill’s onerous provisions would have a ripple effect throughout the Florida economy, severely limiting Florida companies’ ability to advertise and market their offerings to reach interested potential customers. According to one study, 93% of small businesses use at least one technology platform for digital advertising, and when they use such platforms, they contribute \$17.7 trillion to the economy.⁶ Instead of enacting a bill that would create catastrophic impacts for the Florida marketplace, the state should harmonize its approach with existing state privacy laws to minimize compliance costs, ensure businesses can continue to thrive in Florida, and enable Floridians to continue to access the Internet for free or at a very low cost.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, long-standing and emerging publishers, advertising agencies, and technology providers – including many in the travel, hotel, hospitality, real estate, retail, wholesale and other industries important to Florida’s economy. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.⁷ By one estimate, over 370,000 jobs in Florida are derived from the ad-subsidized Internet.⁸ Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We provide below our comments on a non-exhaustive list of concerns with SB 262. We would welcome the opportunity to engage with you further on our suggested amendments to SB 262 outlined here.

I. Florida Should Take Steps to Harmonize Its Approach to Privacy with Other State Laws

In the current absence of a national standard for data privacy at the federal level, it is critical for Florida legislators to seriously consider the costs to both consumers and businesses that will accrue from a patchwork of differing privacy standards across the states. Harmonization with existing privacy laws is essential for creating an environment where consumers in Florida and other states have a consistent set of expectations, while minimizing compliance costs for businesses. Moreover, as drafted, SB 262 would take effect on July 1, 2023, giving covered entities and the Florida businesses that would be impacted by the bill’s provisions mere months to adjust to new requirements and limitations. The short ramp-up period before SB 262’s proposed effective date would exacerbate the already significant compliance challenges associated with the bill and its unique terms. Furthermore, as currently drafted, SB 262 would be out of step with all other state privacy laws, making Florida more restrictive than even California. For example, SB 262 would subject personal information shared with a third party to a double opt out.⁹ First, a controller would be required to provide consumers an opportunity to opt out from sharing personal information with third parties. Then, a third party that

⁵ See SBE Council, *Online Advertising Delivers BIG Benefits for Small Businesses* (Sept. 10, 2019), <https://sbecouncil.org/2019/09/10/online-advertising-delivers-big-benefits-for-small-businesses/>; DELOITTE, DYNAMIC MARKETS: UNLOCKING SMALL BUSINESS INNOVATION AND GROWTH THROUGH THE RISE OF THE PERSONALIZED ECONOMY at 27 (May 2021), <https://istasyon.fb.com/tr/wp-content/uploads/sites/56/2022/09/dynamic-markets-deloitte-report.pdf>.

⁶ U.S. Chamber of Commerce (2022) at 10.

⁷ John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 124-125 (Oct. 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf (hereinafter, “Deighton & Kornfeld 2021”).

⁸ *Id.* at 132.

⁹ SB 262, Section 2, § 501.173(9)(c)(1).

receives personal information from a controller must provide that same consumer the opportunity to opt out of sharing or sale of personal information *before* themselves selling or sharing the personal information. This double opt out should be removed as it is duplicative and therefore unnecessary.

Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 (“CCPA”) concluded that the initial compliance costs to California firms for the CCPA *alone* would be \$55 billion.¹⁰ Additionally, a study on proposed privacy bill in Florida in 2021 that was similar to SB 262 found that the proposal would have generated a direct initial compliance cost of between \$6.2 billion to \$21 billion, and an ongoing annual compliance cost of between \$4.6 billion to \$12.7 billion for companies.¹¹ Coupled with those estimated costs, SB 262 proposes to impose massive penalties of up to \$150,000 per violation on covered entities that run afoul of its provisions.¹² Such potential penalties would only add to the significant cost burden businesses of all sizes would be forced to shoulder under SB 262.

Other studies confirm the staggering costs associated with different state privacy standards. One report found that state privacy laws could impose out-of-state costs of between \$98 billion and \$112 billion annually, with costs exceeding \$1 trillion dollars over a 10-year period and small businesses shouldering a significant portion of the compliance cost burden.¹³ Florida should not add to this compliance burden for businesses and should instead opt for an approach to data privacy that is in harmony with already existing state privacy laws.

II. SB 262’s Exclusions and Rights Are Unclear, and Its Definitions Could Have Disastrous Impacts for Florida Businesses

Several exclusions and definitions in SB 262 are misaligned with other state privacy laws in ways that could severely hinder Florida companies from reaching new and existing audiences for their products and services. For instance, the bill *exempts* “[p]ersonal information collected through *the controller’s* direct interactions with the consumer... which is used *by the controller...* to advertise or market products or services that are *produced or offered directly by the controller.*”¹⁴ This exemption appears to allow “controllers”—companies making in excess of \$1 billion—to use personal information collected through direct interactions with consumers to engage in advertising and marketing for their own products and services. However, SB 262 would not permit that data to be used for advertising by other parties. Small businesses, from local car dealers to local restaurants to local real estate firms, to myriad others, rely on covered entities to reach new audiences with advertising for products and services. In this way, the bill’s unique definition of “controller,” coupled with its ambiguous exclusions, could have the unintended effect of severely limiting other Florida businesses from engaging in lawful and responsible advertising and marketing.

¹⁰ See State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations* at 11 (Aug. 2019), located at <https://www.oag.ca.gov/sites/all/files/agweb/pdfs/privacy/ccpa-isor-appendices.pdf>.

¹¹ See Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida* at 2 (Oct. 2021), located at <https://floridataxwatch.org/DesktopModules/EasyDNNNews/DocumentDownload.ashx?portalid=210&moduleid=34407&articleid=19090&documentid=986>.

¹² SB 262, Section 2, § 501.173(10)(a).

¹³ Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at <https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws> (finding that small businesses would bear approximately \$20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

¹⁴ SB 262, Section 2, § 501.173(1)(g) (emphasis added).

Similarly, the bill's definitions are out-of-step with existing privacy laws in ways that could unnecessarily impede advertising and business transactions. The bill's definition of "aggregate consumer information," for example, "does not include information about a group or category of consumers used to facilitate targeted advertising or the display of ads online."¹⁵ The bill provides no principled reason for excluding advertising functionalities from the definition of "aggregate consumer information." Aggregate consumer information is exempt from every other omnibus state privacy law's definition of "personal information" or "personal data." Consequently, SB 262's divergent definition could result in significantly hindering Florida businesses from reaching consumers with advertising and marketing based on the processing of aggregate consumer information.

Finally, SB 262's opt-out for "sharing" contrasts with the approach to that right in existing state privacy laws and is significantly unclear. The bill's definition of "sharing" includes transfers of personal identifying information for advertising or marketing.¹⁶ "Advertising or marketing" is not defined under the bill, and thus could be interpreted to include first party advertising, contextual advertising, and myriad other advertising techniques that enable Florida businesses to thrive and connect consumers with products and services they may desire. To avoid severe potential impacts to the Florida economy, we encourage the legislature to take steps to unify SB 262's approach, definitions, and exclusions with existing terms in other state privacy laws.

III. SB 262's Data Retention Schedule Restrictions Would Impede Florida Businesses From Reaching Existing Customers Online

SB 262 would place strict data retention rules on controllers, prohibiting them from using or retaining personal information upon "satisfaction of the initial purpose for which such information was collected or obtained, after the expiration or termination of the contract pursuant to which the information was collected or obtained, or 2 years after the consumer's last interaction with the controller."¹⁷ This requirement is not present in any other state privacy law and would needlessly hinder Florida businesses' ability to communicate with and advertise to consumers. Consumers pause engagement with a business for numerous reasons. This provision would remove choice from consumers and risk deletion of data when that is not the intention of consumers.

SB 262 would hinder businesses' ability to market to past consumers who have used their services. This impact could particularly affect small businesses and start-ups in Florida who may benefit from reaching out to market to consumers who have used their products in the past. Companies retain data in the regular course of business for multiple legitimate purposes, such as customer service, fraud prevention and back-up storage. In particular, data back-ups are an indispensable part of continuity and operations planning, as they allow for data protection and recovery in the event of cybersecurity incidents, natural disasters, or other unanticipated events. Requiring controllers to refrain from using or retaining personal information at an arbitrary time, with only limited exceptions, does not take into account the specific needs of businesses or benefits that accrue to consumers by controllers' maintenance of such information. This provision of the bill is shortsighted, overly burdensome, and unnecessary. We respectfully request that this requirement be removed from SB 262.

¹⁵ *Id.* at Section 2, § 501.173(2)(a).

¹⁶ *Id.* at Section 2, § 501.173(2)(q).

¹⁷ *Id.* at Section 2, § 501.173(3)(g).

IV. SB 262’s Third Party Disclosure Requirement Should Be Converted into A Requirement to Disclose the Categories of Third Parties

As presently drafted, SB 262 would, upon a Florida consumer’s request, require controllers to disclose “the third parties to which the personal information about the consumer was sold or shared”.¹⁸ Other states that have enacted privacy laws do not include this impractical requirement. Instead, all other state privacy laws require companies to disclose the *categories* of third parties to whom they transfer personal information rather than the specific names of such third parties themselves.¹⁹

Requiring disclosure of names of entities would be operationally burdensome, as entities change customers, business partners, and vendors frequently, and companies regularly merge with others and change names. For instance, a controller may engage in a data exchange with a new business-customer on the same day it responds to a consumer disclosure request. The requirement to disclose the names of all third-party personal information recipients would either force the controller to refrain from engaging in commerce with the new business-customer—which could be a Florida business that is eager to enter into a contract or deal with a controller—until its consumer disclosures are updated, or risk violating the law. This is an unreasonable restraint, and the impact of such a requirement would likely have the ultimate impact of harming Florida businesses seeking to contract with controllers rather than implementing truly meaningful protections for Florida consumers.

International privacy standards like the European Union’s General Data Protection Regulation (“GDPR”) also do not require burdensome disclosures of specific third parties in response to data subject access requests, according to the text of the law. Mandating that controllers disclose the names of their third-party customers or partners could obligate them to abridge confidentiality clauses they maintain in their contracts and expose proprietary business information to their competitors. Finally, the consumer benefit that would accrue from receipt of a list of third-party partners to whom a controller discloses data would be minimal at best. For these reasons, we encourage you to reconsider this onerous requirement, which severely diverges from the approach to required disclosures taken in existing state privacy laws. To align SB 262 with other state privacy laws, the bill should require disclosures of the categories of third parties rather than the names of such third parties themselves.

V. SB 262’s Proposed Amendments to the State’s Data Breach Notification Statute Are Unnecessary and Misaligned with Other State Requirements

SB 262 would make Florida a significant outlier in comparison to breach notification requirements in other states without providing helpful data breach protections for consumers. As drafted, the bill would add biometric information, genetic information, and “[a]ny information regarding an individual’s geolocation” as data elements subject to the state’s data breach notification statute.²⁰ Breach notification statutes serve to provide consumers and regulators with information about an unauthorized access to or acquisition of specific kinds of information, such as financial information, in combination with identifiable personal data, so they can take action to mitigate the potential impacts of such an event including identity theft or fraud. Moreover, geolocation data is frequently shared by users, with permission, to companies for common uses including mapping, locating nearby gas stations, and other online personalization.

¹⁸ *Id.* at Section 2, § 501.173(4)(a)(4).

¹⁹ *See, e.g.*, Cal. Civ. Code § 1798.110; Va. Code Ann. § 59.1-578(C); Colo. Rev. Stat. § 6-1-1301(1)(a) (effective Jul. 1, 2023); Connecticut Act Concerning Personal Data Privacy and Online Monitoring, Sec. 6(c) (effective Jul. 1, 2023); Utah Rev. Stat. § 16-61-302(1)(a) (effective Dec. 31, 2023).

²⁰ SB 262, Section 3.

SB 262's proposed amendment to state breach notification requirements is unnecessary and impractical. Because geolocation data, biometric information, and genetic information do not carry inherent risks of identity theft or fraud and because including those data elements in the state's data breach notification law could have a chilling effect on the provision of products and services, we ask you to amend SB 262 to remove the proposed changes to the breach notification statute.

* * *

We and our members support protecting consumer privacy. We believe, however, that SB 262 would impose particularly onerous requirements on entities doing business in the state and would unnecessarily impede Florida residents from receiving helpful services and accessing useful information online. In particular, the bill would diminish small businesses' ability to continue to operate and provide value to the Florida economy. We therefore respectfully ask you to reconsider SB 262 or amend it to reflect the recommendations set forth in this letter. Again, we would welcome the opportunity to discuss these comments with you in greater detail.

Thank you in advance for your consideration of this letter.

Sincerely,

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